

25STCV08209 25STCV08209

County: los-angeles

Division: Civil Law and Motion

Department: 735

Hearing date: 2026-07-01

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Case Number: 25STCV08209 Hearing Date: July 1, 2026 Dept: 735

O'Sullivan v. Statebridge Company, LLC, et al.

Defendants Statebridge Company, LLC and
Wilmington Savings Fund Society, FSB's Demurrer to Second Amended Complaint and
Motion to Strike

BACKGROUND

On November 20, 2025, Plaintiff Sondra O'Sullivan filed the Second Amended Complaint against Statebridge Company, LLC ("Statebridge") and Wilmington Savings Fund Society ("Wilmington") for: (1) equitable estoppel, (2) promissory estoppel, (3) breach of contract, (4) breach of the implied covenant of good faith and fair dealing, (5) slander of title, (6) cancellation of instruments, (7) violation of the Unlawful Practices And Foreclosure Safeguards for Subordinate Mortgages Law, (8) violation of the Rosenthal Fair Debt Collection Practices Act ("Rosenthal Act"), (9) violation of the Unfair Competition Law, and (10) declaratory relief.

Plaintiff alleges that the real property located at 25406 Altos Drive, Valencia California (the "Property") was her personal residence. (SAC ¶ 11.) On March 7, 2006, Plaintiff alleges she signed a Promissory Note and Deed of Trust to obtain a first-lien home loan for \$600,000 from IndyMac Bank, FSB ("IndyMac") that was secured by the Property (the "First Loan"). (SAC ¶ 12.) On the same day, Plaintiff alleges she also signed a Promissory Note and Deed of Trust to obtain a second-lien home loan for \$75,000 from IndyMac that was secured by the Property ("Second Loan" or "HELOC loan"). (SAC ¶ 13.)

After the sale of IndyMac Federal Bank to OneWest Bank, FSB ("OneWest"), Plaintiff alleges that in September 2009 OneWest offered and Plaintiff accepted a loan modification to modify the terms of the First Loan. (SAC ¶¶ 15-17.) Plaintiff alleges that when they were entering this modification, OneWest refused to accept Plaintiff's payment due for the Second Loan despite Plaintiff's attempt to provide payment. (SAC ¶ 18.) Plaintiff alleges that OneWest also instructed Plaintiff to cease making payments towards the Second Loan because it wrote it off, collection would never resume, the debt did not exist anymore, and Plaintiff did not owe it anymore. (SAC ¶ 19.) Plaintiff alleges OneWest also ceased sending periodic statements to Plaintiff for the Loan. (SAC ¶ 20.)

Plaintiff alleges on December 28, 2023, Statebridge, on behalf of and in concert with Wilmington, recorded an Assignment of Deed of Trust on Title to the Property. (SAC ¶ 22.) Plaintiff alleges that despite OneWest's representations above, Statebridge falsely represented to Plaintiff and the public that OneWest assigned the Second Loan to Wilmington under the dba "Christiana Trust as Trustee for PNPMS Trust 1." (SAC ¶23.) Plaintiff alleges in June 2024, Statebridge began sending Plaintiff monthly statements for the Second Loan on behalf of Wilmington demanding payment from Plaintiff and threatening foreclosure if she did not pay. (SAC ¶ 24.)

Plaintiff alleges that on January 3, 2025, ZBS Law, LLP recorded a Notice of Default on title to the Property on behalf of Defendants beginning the non-judicial foreclosure process. (SAC ¶ 25.) Plaintiff alleges this was done despite ZBS Law, LLP not being the original or substituted trustee under the Deed of Trust for the Second Loan. (SAC ¶ 26.) Plaintiff alleges that on April 8, 2025, ZBS Law, LLP recorded a Notice of Trustee's Sale on title to the Property on behalf of Defendants originally scheduling foreclosure for May 6, 2025. (SAC ¶ 29.)

REQUEST FOR JUDICIAL NOTICE

Defendants' requests for judicial notice are granted as to the existence of the documents, but not as to the truth of the matters asserted therein.

DISCUSSION

Demurrer

D'Onech, Duhme Doctrine and Civil Code §
882.020

Defendants demur to the entire complaint on the grounds that a "charge-off" of the HELOC loan that was not memorialized in writing does not render it unenforceable. In support, Defendants cite the "D'Onech, Duhme doctrine." This doctrine prevents borrowers from asserting secret, unrecorded side agreements against federal banking regulators to avoid obligations or diminish the value of assets in a failed bank's portfolio. (Rtc Mortg. Trust v. Shlens (1998) 62 Cal.App.4th 304, 315.) This doctrine applies even if the borrower was innocent of any wrongdoing, as long as the oral agreement could potentially mislead regulators or affect the institution's financial records. (Thomka v. Financial Corp. (1993) 15 Cal.App.4th 877, 888.) Additionally, "Assignees of the FDIC and the FSLIC enjoy the protection of the doctrine, as do so-called 'bridge banks'--institutions authorized by the FDIC and FSLIC to operate failed banks and savings and loans ..." (Rtc Mortg. Trust, supra, at 316.)

Plaintiff alleges that she signed the Second Loan Deed of Trust with IndyMac. (SAC ¶ 13.) Plaintiff alleges that after the FDIC took over IndyMac and then transferred the assets to OneWest, OneWest told Plaintiff that she did not have to make payments on the Second Loan. (SAC ¶¶ 15-19.) Plaintiff alleges that OneWest continued to use the trade name "IndyMac" with former IndyMac customers such as Plaintiff. (SAC ¶ 17.) The Second Loan Deed of Trust was then assigned to Defendants on December 28, 2023. (SAC ¶ 22; RJN Exh. 3.)

As pointed out by Plaintiff, the D'Onech, Duhme doctrine is inapplicable here because OneWest, the successor to IndyMac, allegedly made the statements to Plaintiff about the Second Loan. The doctrine protects the FDIC or a successor assignee bank from secret oral agreements made by the previous failed bank, however here OneWest was the assignee bank. Hence, the D'Onech, Duhme doctrine does not apply in this case to bar any of Plaintiff's causes of action. Defendants do not address this argument in reply. The demurrer cannot be sustained on this basis.

Defendants also argue that even if a

charge-off has been implemented, the debt is still collectible under Civil Code § 882.020, which provides that a lien does not expire until 10 years after its maturity date. Courts have noted that “[w]hen a creditor charges off a debt, the creditor declares the debt is unlikely to be collected and takes a tax deduction on the debt. [internal citations omitted] This typically occurs after six months of nonpayment by the debtor. [internal citation omitted] Although it has been deemed uncollectible by the original creditor, the debt remains legally valid after a charge-off.” (Cavalry SPV I, LLC v. Watkins (2019) 36 Cal. App. 5th 1070, 1075, fn.1.) Here, Plaintiff not only alleges that debt was charged off, but also that the lender falsely represented to Plaintiff that it would not be enforced against her. Civil Code § 882.020 does not bar Plaintiff’s claims.

Statute of Limitations

Defendants assert that all of Plaintiff’s claims are barred by the applicable statutes of limitations. Defendants argue that Plaintiff knew or should have known that the Second Loan was not extinguished at the time of the 2009 alleged modification because the loan documents remained recorded against the property. In opposition, Plaintiff argues that the claims are not barred because Plaintiff did not suffer harm until Defendants began to send her collection letters in 2024 and initiated the foreclosure process by recording a Notice of Default on title to her home in 2025. The Court agrees. As stated, Plaintiff alleges Defendants represented that the second loan would not be enforceable. This misrepresentation could not have been known until Defendants then attempted to enforce the loan. Additionally, all elements of Plaintiff’s claims (i.e. damages) did not occur until Defendants attempted to enforce the loan. The demurrer cannot be sustained on this basis.

First

and Second Causes of Action for Equitable and Promissory Estoppel

Defendants demur to the first and second causes of action for equitable and promissory estoppel on the grounds that Plaintiff did not rely on an unambiguous promise to her detriment. Promissory estoppel requires a clear and unambiguous promise, reasonable and foreseeable reliance by the promisee, and substantial detriment suffered as a result of the reliance. Similarly, equitable estoppel requires that (1) the party to be estopped must be apprised of the facts; (2) the party must intend that the

party's conduct shall be acted upon, or must so act that the other party asserting the estoppel has a right to believe it was so intended; (3) the other party must be ignorant of the true state of facts; and (4) the other party must rely upon the conduct to the other party's injury.

Here,

Plaintiff alleges OneWest promised that the Second Loan was no longer enforceable. Relying on that promise, Plaintiff ceased to make payments on the loan. That reliance was detrimental because Defendants, as successors of OneWest, now seek to enforce the loan based on Plaintiff's purported failure to make payments. Plaintiff's allegations are sufficient to assert claims for equitable and promissory estoppel. The demurrer to the first and second causes of action is overruled.

Fifth,

Sixth and Tenth Causes of Action for Slander of Title, Cancellation of Instruments and Declaratory Relief

Defendants

assert that the fifth, sixth and tenth causes of action fail because the Second Loan remains enforceable. As stated, the D'Onch, Duhme doctrine does not apply here and Plaintiff has sufficiently alleged that Defendants are estopped from enforcing the Second Loan. Plaintiff has thus sufficiently alleged that the Second Loan is unenforceable and that she is entitled to cancellation of the loan documents. The demurrer to the fifth, sixth and tenth causes of action is overruled.

Seventh

Cause of Action for Violation of Civil Code § 2924.13

Defendants demur to the seventh cause of

action on the grounds that Plaintiff has not alleged a violation of Civil Code section 2924.13, which did not become effective until June 30, 2025. Civil Code section 2924.13 provides that it is an unlawful practice to, among other things, fail to "provide the borrower with any written communication regarding the loan secured by the mortgage for at least three years" and fail "to provide a periodic account statement to the borrower when required to provide that statement by law, including, but not limited to, the federal Truth in Lending Act, as amended (15 U.S.C. 1601, et seq.), and investor or guarantor requirements." Defendants assert that account statements were not required because the loan was allegedly charged off. But Defendants make that assertion

while simultaneously arguing that the loan was not actually charged off and is instead still enforceable. These arguments cannot be reconciled. As Defendants are allegedly currently violating section 2924.13, the demurrer cannot be sustained on the basis that the statute became effective only on June 30, 2025. The demurrer to the seventh cause of action is overruled.

Eighth

Cause of Action for Violation of the Rosenthal Fair Debt Collection Practices Act

Defendants demur to the eighth cause of action on the ground that Plaintiff has failed to allege a violation of the Rosenthal Fair Debt Collection Practices Act.

The Rosenthal Act incorporates the Federal Fair Debt Collection Practices Act (FDCPA), and thus a violation of the FDCPA is per se a violation of the Rosenthal Act. The FDCPA provides that a debt collector may not use any false representation or means in connection with the collection of any debt, including but not limited to regarding the character, amount, or legal status of any debt, as stated in 15 U.S.C. § 1692e, subd. (2)(A); the threat to take any action that cannot legally be taken or that is not intended to be taken, under 15 U.S.C. § 1692e, subd. (5); and, the use of any false representation or deceptive means to collect or attempt to collect any debt concerning a consumer, under 15 U.S.C. § 1692e, subd. (10). Plaintiff alleges Defendants used false representations and deceptive, unfair and unconscionable means in connection with the efforts to collect from Plaintiff, including suddenly reactivating a dormant mortgage and requiring payment for retroactively assessed years of interest and fees. This is sufficient to allege a violation of the Rosenthal Act. The demurrer to the eighth cause of action is overruled.

Ninth

Cause of Action for UCL Violations

Defendants

assert that the ninth cause of action fails because Plaintiff has not alleged Defendants engaged in unfair, unlawful or fraudulent business practices. As stated, Plaintiff alleges Defendants used false representations, and deceptive, unfair and unconscionable means in connection with the efforts to collect from Plaintiff, including suddenly reactivating a dormant mortgage and requiring payment for retroactively assessed years of interest and fees. These allegations are sufficient to allege Defendants have engaged in unfair,

unlawful or fraudulent business practices. The demurrer to the ninth cause of action is overruled.

Motion
to Strike

Defendants move to strike allegations relating to Plaintiff's claims for punitive damages. Punitive damages are available in noncontract cases where the defendant is guilty of "oppression, fraud, or malice." (Civil Code § 3294(a).) Conclusory allegations are insufficient to support a claim for punitive damages. However, the stricken language must be read not in isolation, but in the context of the facts alleged in the rest of petitioner's complaint.

Plaintiff has sufficiently alleged that Defendants have wrongfully attempted to collect on a debt that the know is unenforceable. Plaintiff alleges "as a matter of business policy, officers, directors and/or managing agents of Defendants committed, ratified, and/or authorized the conduct complained of herein and/or had advance knowledge of the unfitness of their employees engaged in the conduct complained of herein and employed them with a conscious disregard of the rights or safety of others." This is sufficient to allege a claim for punitive damages against Defendants.

CONCLUSION

The Court overrules Defendants' demurrer. Defendants shall file and serve their answers within 10 days.

The Court denies Defendants' motion to strike.

Defendants
shall give notice.